

3. The market-price changes in Groups A and C cannot be considered as indicating any inherent qualities of these types, in view of the small sample taken. The importance of qualitative factors in selecting Group C issues is brought home by the poor performance of Nash Motors. This point is (and was) emphasized in our text by the sentence "But the actual purchase of any such issues (in Group C) must require *also* that the purchaser be satisfied in his own mind that the prospects of the enterprise are at least reasonably favorable."

NOTE 59

For the operation of leverage in reverse fashion see the following with respect to American Water Works & Electric Co.:

AMERICAN WATER WORKS AND ELECTRIC COMPANY¹

Item	1929	1938	Ratio of 1938 figures to those for 1929, %
Gross revenues	\$54,119	\$50,004	92.40
Net for charges	22,776	17,593	77.20
Fixed charges and preferred dividends	16,154	16,698	103.37
Balance for common stock	6,622	895	13.52
Number of shares of common	1,657	2,343	141.41
Earned per share of common	\$ 4.00	\$ 0.38	9.50
High price for common	199	16 ¹ / ₈	8.10
Minimum earnings per share of common since 1929			\$0.38 (1938)
Minimum price of common since 1929			6 (1938)

¹ Figures in thousands, except those per share.

THE UNITED LIGHT AND POWER COMPANY¹

Item	1934	1937
Gross revenues	\$73,867	\$89,531
Net for charges	19,905	23,404
Fixed charges	18,918	17,932
Surtax		289
Balance for preferred stock	987	5,183
Earned per share of preferred	\$ 1.64	\$ 8.64

¹ Figures in thousands, except those per share.